JACK D. GORDON INSTITUTE
FOR PUBLIC POLICY



WINNING HEARTS, CHANGING MINDS:

A DATA-DRIVEN APPROACH TO MEASURE CHINA'S INFLUENCE IN LATIN AMERICA

AUTHORS
NARAYANI SRITHARAN AND JONATHAN A. SOLIS

MARCH 2025

The Jack D. Gordon Institute for Public Policy, part of FIU's Steven J. Green School for International & Public Affairs was founded in 1985 to establish, promote, and advance the study of public policy and national security studies. The Gordon Institute serves as the forefront of public policy discourse by leading, integrating, and delivering exceptional multidisciplinary education and research while improving the competitiveness and diversity of students and professionals entering the workforce. The Gordon Institute is centered on four pillars: Academics, Professional Education, Research, and Community Outreach, each serving the mission of shaping public policy and national security solutions in the 21st century.

Disclaimer: This product is part of the Florida International University—United States Southern Command Academic Partnership. United States Southern Command provides funding to support this series as part of its analytic outreach efforts. Analytic outreach is intended to support United States Southern Command with new ideas, outside perspectives, and spark candid discussions. The views expressed in this report are those of the author and do not necessarily reflect the official policy or position of the United States Government, United States Southern Command, Florida International University, or any other affiliated institutions.

Permission Statement: No part of this work may be reproduced in any form or by any means, electronic or mechanical, including photocopying, recording, or by any information storage and retrieval system without the permission of the Jack D. Gordon Institute for Public Policy.

Requests for permission should include the following information:

- The title of the document for which permission to copy material is desired.
- A description of the material for which permission to copy is desired.
- The purpose for which the copied material will be used and the manner in which it will be used.
- Your name, title, company or organization name, telephone number, e-mail address and mailing address.

Please send all requests for permission to jgi@fiu.edu.

TABLE OF CONTENTS

1 Executive Summary

2 Introduction

4 China's Financial Development In Latin America And The Caribbean

8 How Domestic Dynamics Impact Favorability Toward China In LAC

11 Research Design

13 Findings

20 Conclusion

22 Technical Appendix

26 Endnotes

31 About the Authors



EXECUTIVE SUMMARY

Between 2000 and 2021, China provided US$382.63 billion (constant 2021 US$) in development finance to Latin America and the Caribbean (LAC). China's expanding footprint in LAC through development finance poses strategic challenges to U.S. influence in the region. By coupling financial investments with public diplomacy efforts, Beijing has sought to improve its favorability among recipient countries, often bypassing the governance and transparency requirements typical of Western aid. This approach raises questions about the long-term implications for democratic governance and U.S. strategic interests. Yet, the extent to which this engagement influences recipient countries remains an open question.

This paper argues that while greater China's development financing will increase the public approval of Beijing's leadership in LAC, this relationship is moderated by (1) domestic government approval, and (2) media freedom. Greater approval for a citizen-won government will bolster the positive relationship between China's development funding and perceptions of China's leadership. At the same time, respondents in more open and freer media environments where the media can criticize the government could diminish this positive effect. An ancillary analysis examines how switching diplomatic ties from Taipei to Beijing influences development financing from China in Panama, the Dominican Republic, El Salvador, and Nicaragua.

Key Findings

- ***Public approval boost:*** Chinese development finance increases public approval of China's leadership. Investments in high-visibility projects resonate with citizens, enhancing China's reputation as a reliable development partner.
- ***Moderating the role of domestic leadership:*** The effect of Chinese financing is weaker in countries with high domestic government approval, as citizens attribute development successes to their own governments rather than external financiers.
- ***Impact of greater media freedom:*** Media environments moderate the relationship between Chinese financing and public perceptions, introducing scrutiny that tempers favorable views of China.
- ***Diplomatic shifts and public perceptions:*** Countries that switched diplomatic recognition from Taiwan to the People's Republic of China (PRC)—such as Panama, the Dominican Republic, El Salvador, and Nicaragua—experienced a significant increase in public approval of China's leadership, underscoring the importance of diplomatic alignment.

Policy Recommendations

- **Strengthen people-to-people engagements.** Expand United States Southern Command's (SOUTHCOM's) military exchange programs to build trust and position U.S. forces as a transparent, reliable partner in LAC.
- **Invest in free and open media**. Support investigative journalism and freedom of information laws to enhance transparency and reveal development finance terms and outcomes, aligning with U.S. good governance and democracy goals.
- **Promote transparency in security cooperation to strengthen trust.** Ensure openness in U.S. military and security engagements to reinforce credibility, strengthen regional partnerships, and differentiate U.S. assistance from opaque alternatives.
- **Monitor shifts in diplomatic alignment.** Track countries at risk of recognizing the PRC and proactively bolster military and security ties to sustain U.S. influence in SOUTHCOM's area of responsibility.

INTRODUCTION

The People's Republic of China (PRC, or China hereafter) has quickly become a leading donor to the developing world, offering financial assistance without the governance requirements and conditions typically imposed by Western donors.[1] Between 2000 and 2021, the PRC committed US$1.34 trillion (constant 2021) in development finance to the Global South[2] with three of the top ten recipients located in Latin America: Venezuela (US$113B), Brazil (US$54B), and Argentina (US$38B). China also spearheaded the creation of BRICS, an intergovernmental organization of developing countries aimed at counterbalancing the influence of the Western-centric G7.[3] In 2013, the PRC launched the Belt and Road Initiative (BRI), positioning itself as the go-to financier for development projects in the developing world. Notably, Brazil is a founding member of BRICS, while Venezuela and Bolivia have officially applied for membership or been officially invited to join.[4]

China's expanding presence on the global stage has drawn significant attention and scrutiny, particularly concerning its development finance[5] practices and how citizens perceive its growing influence in recipient countries.[6] This is particularly important in Latin America, which boasts some of the highest democracy levels in the developing world.[7] Here, citizens play a pivotal role in shaping their country's foreign policy through their electoral choices. A growing body of literature examines how Chinese development finance affects perceptions of China, yielding mixed findings. Some findings suggest that Chinese financing fosters positive perceptions of China and increases support for its leadership among recipient populations.[8] Conversely, other studies highlight concerns about the lack of transparency, accountability, and governance associated with Chinese investments, which has negative implications for the development and democratization in these countries.[9]

Development finance providers are often driven by two primary factors: an altruistic desire to support recipient countries and a strategic interest in advancing the donor's objectives. These dual motives are evident in the practices of traditional Western donors and emerging donors like China. Unlike traditional donors, which often emphasize governance reforms and social sector investments, China tends to prioritize economic development and national self-sufficiency, favoring large-scale infrastructure projects over conventional aid. Its development finance blends Official Development Assistance (ODA)—financial aid that is primarily designed to promote the welfare and development of recipient countries and often comes with favorable terms, like low-interest loans or grants—with Other Official Flows (OOF), which are loans or investments that serve broader policy or commercial goals but are less focused on development and often come with stricter repayment terms. By combining these tools, China offers recipient countries significant funding for transformative projects. However, critics point to the opaque nature of Chinese financing, its association with authoritarian regimes, and its potential to undermine trust in recipient governments—issues that are particularly salient in regions such as Sub-Saharan Africa and Latin America.

While development aid can bring tangible benefits such as improved infrastructure and education, its impact on public favorability toward donors remains inconsistent and highly context-dependent. Factors such as proximity to aid projects and perceptions of donor respect play a role in shaping outcomes. However, aid does not uniformly enhance donor favorability, as Western and Chinese donors have both had mixed results. A key gap in the literature is the limited attention paid to how domestic conditions—such as public support for national leadership, economic performance, and media freedom—moderate the effects of development finance on public opinion. These domestic dynamics critically influence how citizens perceive and respond to donor initiatives like China's development financing.

Existing studies on the effects of Chinese investments often overlook the role of these moderating factors, implicitly treating public perceptions of China as isolated from the domestic political and media environment. However, engagement with China does not occur in a vacuum. A range of contextual factors shape citizens' views of Chinese development efforts. To address this gap, we examine how two key variables—citizen approval of domestic leadership and the openness of a country's media landscape—affect public perceptions of China's development financing. We argue that both (1) support for domestic leaders, and (2) media openness moderates the relationship between Chinese development finance and public opinion.

Leaders who enjoy strong domestic approval tend to inspire greater confidence in their decision making, which may translate into higher public support for policies such as accepting Chinese financing. Meanwhile, in countries with a freer media environment, the public is likely exposed to a wider range of narratives, including critical stories about China. This diversity of perspectives increases the likelihood of encountering negative portrayals of Chinese investments, which may temper otherwise favorable views. Consequently, an open media environment, by enabling greater scrutiny of China's activities, can diminish public approval of the PRC.

To evaluate our argument, we analyzed Gallup World Poll survey data of individual approval responses of China's leadership across 25 Latin American and Caribbean (LAC) countries that received investments from China between 2006 and 2021. The focus was on citizens' approval of China's leadership, while data on respondents' approval of domestic government and media freedom at the country-level were used to evaluate the core argument. The analysis produced four key findings. First, greater amounts of Chinese development financing increase the likelihood of citizens approving China's leadership. Second, higher domestic government approval weakens this effect, as citizens in countries with popular domestic leaders are more likely to credit developmental successes to their government rather than to external financiers like China. Third, freer media environments moderate the relationship between Chinese development financing and public approval of China's leadership by introducing scrutiny that reduces the influence of Chinese financing on public perceptions. Finally, countries that shifted diplomatic recognition from Taiwan to the PRC experienced a notable boost in public approval of China's leadership, as diplomatic alignment amplifies the perceived benefits of Chinese investments.

This study makes both theoretical and empirical contributions to the literature on the outcomes of China's development finance. Theoretically, we integrate insights from diverse strands of literature to propose a novel framework that highlights how individuals' preferences for their domestic government and the openness of their media environment moderate the effects of Chinese development finance on perceptions of China in LAC. Empirically, this is among the first papers to test how switching diplomatic recognition from Taiwan to the PRC impacts public approval of China's leadership while also examining how Chinese financing, domestic political contexts, and media freedom jointly shape public perceptions in recipient countries. These contributions offer new insights into the mechanisms through which Chinese development finance influences public opinion in LAC.

In what follows, we examine how PRC financial development influences citizens' perceptions of Chinese leadership in LAC. The next section provides an overview of PRC financial activities in the region, highlighting financial flows over time, key recipient countries, and primary sectors of investment. This context sets the stage for the development of the paper's theoretical framework, which explains how domestic factors, such as media freedom and support for domestic leadership, moderate favorability toward China.

Following this, we present the research design, detailing the data, methods, and analytical approach used to test our theory. The findings section outlines the results of our analysis, showing that media freedom and domestic leadership approval significantly moderate the effect of PRC financial development on public perceptions of Chinese leadership. In addition, we analyze the unique impact of switching diplomatic recognition to the PRC on public approval of Chinese leadership, including a case study of Panama's diplomatic realignment. Finally, the conclusion considers the broader implications of this study for understanding Chinese engagement strategies in LAC.

CHINA'S FINANCIAL DEVELOPMENT IN LATIN AMERICA AND THE CARIBBEAN

From 2000 to 2021, 25 LAC countries received about US$382.63 billion in financial development from the PRC.[10] This development finance significantly shapes how citizens in these countries perceive China's leadership. Before delving into theory and analysis, we first examine the key characteristics of the PRC's development finance in the region. This includes an overview of the total amount and number of projects over time, the distribution of aid, loans, and financial flows that defy traditional categorization, and the primary sectors of investment.

A distinctive feature of the PRC's engagement strategy in the Global South is its dual approach to development finance. While Beijing occasionally funds large-scale infrastructure projects through less concessional loans aimed at generating economic returns, it more frequently supports low-cost social and educational initiatives designed to build goodwill. Both approaches are integral to China's broader strategy in LAC. In this section, we analyze these distinct types of projects to provide a comprehensive profile of the PRC's regional engagement. This context serves as a foundation for the theoretical and empirical analysis presented in the remainder of the paper.

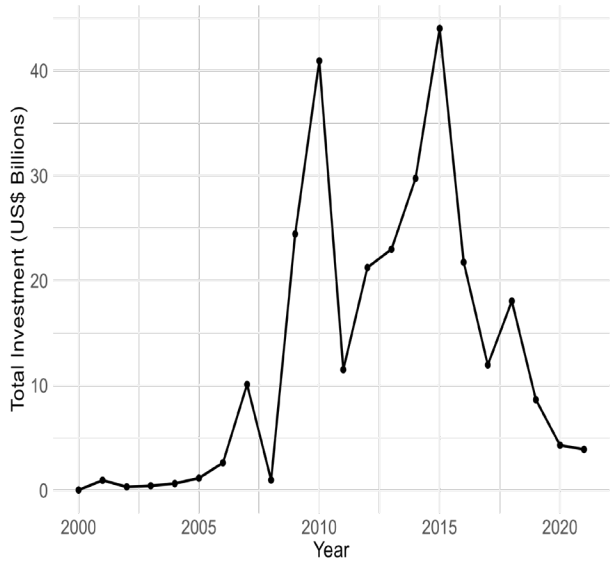
Trends in PRC Investments Over Time

Chinese investments in LAC exhibit distinct phases of engagement (Figure 1). Between 2000 and 2015, annual investments increased steadily, with peaks in 2010 and 2015 corresponding to major infrastructure and energy projects, such as Venezuela's oil-for-loans agreements and investments in resource-rich countries like Brazil and Argentina.[11] These surges align with China's growing strategic focus on securing natural resources and expanding its influence under the BRI.

After 2015, Chinese investments declined sharply, dipping below US$10 billion by 2021. This drop reflects the economic slowdowns in key recipient countries like Brazil and Argentina, political instability in Venezuela, and global uncertainties, including the COVID-19 pandemic. Concerns about the region's ability to manage and repay its debt may also have tempered China's financial engagement.

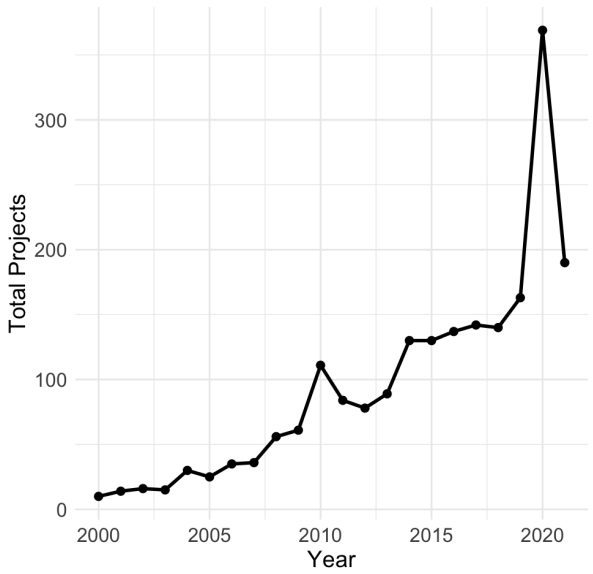
While financial flows declined, project counts reveal a different trend. Between 2000 and 2015, the number of projects rose steadily, peaking in 2020 at over 350 projects before declining sharply in 2021 (Figure 2). The 2020 spike coincides with increased commitments in response to the pandemic and marks the culmination of China's sustained expansion in the region. Despite the decline, the upward trajectory in project counts over two decades underscores China's consistent commitment to diversifying its development portfolio.[12]

Figure 1. Chinese investments in the region over time



Notes: This line graph depicts China's total investment (in US$ in billions) in development projects across LAC countries from 2000 to 2021. The x-axis represents years, while the y-axis represents the total investment amount in billions of constant 2021 US$.

Figure 2. Chinese projects in the region over time



Notes: This line graph shows the total number of development projects funded by China across LAC countries from 2000 to 2021. The x-axis represents years, while the y-axis indicates the total number of projects.

Top Recipients of PRC Investments

Chinese financing in the LAC region is concentrated among a few key recipients, with Venezuela, Brazil, and Argentina leading in total investment amounts (Table 1). Together, these countries account for nearly 60 percent of the region's total financing, reflecting their economic size and strategic importance.

Table 1. Top 10 recipients of Chinese investments (in billions)

Recipient	ODA-like	OOF-like	Vague (Official Finance)	Total
Venezuela	0.10	105.46	7.32	112.88
Brazil	0.00	52.92	1.42	54.34
Argentina	0.08	37.41	0.35	37.84
Ecuador	0.80	25.66	0.11	26.57
Peru	0.16	16.80	0.10	17.06
Cuba	4.02	2.52	1.25	7.78
Chile	0.01	6.31	0.35	6.66
Mexico	0.05	3.93	0.09	4.07
Jamaica	0.49	2.09	0.03	2.60
Bolivia	0.44	2.12	0.01	2.57

Venezuela received US$112.88 billion, making it the largest recipient. OOF-like flows dominate, accounting for US$105.46 billion (93 percent), while ODA-like and Vague (Official Finance) flows constitute smaller shares. This pattern reflects Venezuela's reliance on commercial loans and resource-backed financing.

Brazil and Argentina rank second and third, receiving US$54.34 billion and US$37.84 billion, respectively. Brazil's financing is almost entirely OOF-like, consistent with its focus on large-scale infrastructure and energy projects. Argentina, in contrast, has a more balanced distribution, with OOF-like flows making up 99 percent of its total and ODA-like flows playing a smaller but notable role, reflecting its dual focus on commercial and concessional financing.

Smaller economies like Cuba and Ecuador exhibit a higher reliance on ODA-like flows, with 52 percent and 67 percent of their respective totals falling into this category. This highlights the concessional orientation of Chinese financing in politically aligned or mid-tier economies, a trend noted in previous research.[13] Across the top 10 recipients, OOF-like flows dominate, but the prominence of ODA-like flows in smaller economies signals China's adaptability to diverse political and economic contexts.

Examining project counts reveals additional nuances in China's engagement (see Table 2). Ecuador ranks first, with 189 projects, 67.7 percent of which are ODA-like. This concessional focus aligns with Ecuador's profile as a mid-tier recipient in financial terms. Brazil and Argentina follow, with 170 and 168 projects, respectively. Brazil's project portfolio is heavily OOF-like (80 percent), mirroring its financial flows, while Argentina shows a more balanced mix of ODA- and OOF-like projects.

Table 2. Top 10 recipients of Chinese investments (in project count)

Recipient	ODA-like	OOF-like	Vague (Official Finance)	Total
Ecuador	128	53	8	189
Brazil	26	136	8	170
Argentina	58	100	10	168
Venezuela	31	100	28	159
Peru	92	47	1	140
Cuba	81	23	20	124
Bolivia	87	17	2	106
Jamaica	76	26	2	104
Mexico	35	38	8	81
Chile	8	62	3	73

Venezuela ranks fourth with 159 projects, including the highest number of Vague (Official Finance) projects (28). Peru and Cuba follow with 140 and 124 projects, respectively, both dominated by ODA-like flows. Smaller recipients like Bolivia, Jamaica, and Mexico feature strong concessional components, reflecting a developmental focus.

These patterns highlight how project distribution complements financial flows, with ODA-like projects concentrated in smaller or politically aligned countries and OOF-like projects focused on commercial priorities in larger economies.

Top Sectors of PRC Investments

Chinese investments in LAC are concentrated in a few key sectors, reflecting strategic priorities and recipient needs. Table 3 highlights the top three sectors by investment amount and project count, revealing distinct trends.

Table 3. Top 5 Sectors by Amount of Investment and Project Count

Sector Name	Amount (in billions)	Sector Name	Project Count
Other Multi Sector[14]	73.45	Health	500
Industry, Mining, Construction	67.34	Education	267
Energy	41.40	Energy	176
General Budget Support	25.70	Industry, Mining, Construction	167
Banking and Financial Services	23.70	Other Social Infrastructure and Services	162

In financial terms, the "other multi sector" category dominates with US$73.45 billion, driven primarily by Venezuela (US$69.4 billion). The "industry, mining, and construction" sector ranks second (US$67.34 billion), with Brazil leading (US$28.1 billion) due to its rich resource base. The energy sector (US$41.4 billion) is third, with Brazil, Argentina, and Venezuela receiving the largest shares, reflecting China's focus on energy security and infrastructure. General budget support (US$25.7 billion) ranks fourth, with Ecuador (US$14.5 billion) and Venezuela (US$11.2 billion) as the primary recipients. General budget support is a form of aid where funds are transferred directly to the recipient government's budget. These funds are not earmarked for specific projects or sectors and are intended to support the government's overall policy framework and development priorities. It aims to provide predictable and flexible funding to support the recipient country's development strategies, encourage policy reform, and strengthen public financial management systems.

An example of general budget support is the two billion oil-backed loan agreement signed on April 29, 2016, between Ecuador's Ministry of Finance and the China Development Bank (CDB). The loan's proceeds were split into two tranches. Tranche A (US$1.5 billion) provided flexible funding to support Ecuador's budgetary needs, while Tranche B (US$503.7 million) was tied to specific investment projects. Backed by future oil sales from Petroecuador, the loan faced scrutiny over its confidentiality clauses, eventual rescheduling, and revised repayment terms, highlighting the challenges of resource-backed financing as a form of general budget support.[15] Finally, banking and financial services (US$23.7 billion) rounds out the top five, led by Argentina (US$22.5 billion), and followed by smaller projects in Chile, Suriname, Colombia, and Brazil.

In project count, health leads with 500 projects, concentrated in Ecuador (57), Argentina (49), and Guyana (45), reflecting China's response to regional health challenges, particularly during the pandemic. Education ranks second with 267 projects, led by Jamaica (31), Mexico (30), and Ecuador (21), highlighting China's emphasis on human capital development. The energy sector ranks third with 176 projects, concentrated in Brazil (46), Argentina (32), and Venezuela (20). Industry, mining, and construction rank fourth with 128 projects, dominated by Brazil (51), Peru (30), and Venezuela (28), reflecting China's focus on industrial infrastructure and resource development. Finally, "other social infrastructure and services" rounds out the top five with 82 projects, led by Barbados (19), Jamaica (19), and Uruguay (18), emphasizing social development and service delivery. Examples include cultural exchange programs, technical training, and community support. In Barbados, Chinese donations included martial arts equipment for the Barbados Wushu Taiji Federation (2014) and musical instruments for the Barbados Defence Force (2013), alongside band training and performances fostering cultural ties during People's Liberation Army (PLA) visits in 2008 and 2012.[16] Similarly, in Jamaica, the Jamaica-China Technical Cooperation Programme (2017-2019) facilitated sports training, with Chinese coaches assisting Jamaican athletes and teams

participating in programs in China.[17] Smaller initiatives included the donation of toys and educational materials for underserved children near Montego Bay (2004). These projects demonstrate China's focus on enhancing local capacities and fostering goodwill.

The disparity between financial flows and project counts underscores China's dual strategy: large-scale investments in resource-heavy sectors and a higher number of smaller-scale projects in health and education. Brazil and Venezuela dominate in financial terms, while Ecuador's strong presence in health and education projects reflects its focus on receiving loans or grants with favorable terms, such as low interest rates or long repayment periods.

China's development finance in LAC reflects a dynamic and multifaceted approach, combining large-scale infrastructure investments with concessional projects tailored to recipient needs. The temporal, recipient-specific, and sectoral trends analyzed here underscore the adaptability of China's engagement, aligning its strategies with both geopolitical objectives and developmental goals. These patterns set the foundation for exploring how domestic factors, such as government approval and media openness, moderate public perceptions of China's leadership in the region.

With this foundation in place, the paper will now turn to theory and research design, exploring how China's development finance in LAC influences citizen perceptions of the PRC's regional leadership. As PRC development finance increases, perceptions of China are likely to improve. However, two key domestic factors moderate this relationship: approval of the domestic government and media freedom. In the following subsections, we first outline the theoretical framework, then derive the empirical implications to test, and finally describe the approach used to evaluate these hypotheses.

HOW DOMESTIC DYNAMICS IMPACT FAVORABILITY TOWARD CHINA IN LAC

This paper argues that, as a LAC country receives more development financing from China, citizens' perceptions of China are likely to improve. This relationship, however, is influenced by two factors: (1) citizens' approval of their own government, and (2) the media's capacity to criticize the government. Our theory rests on two assumptions: leaders prioritize staying in power regardless of democracy level, and China seeks to enhance its image and favorability through development finance, even if it is not its primary aim. To this end, we explore China's ambitions in LAC below.

To establish itself as the leading financier for the developing world, China pursues two key objectives: generating investment returns and broadening its global influence. A central pillar of this strategy is the BRI, which focuses on strengthening infrastructure and promoting economic connectivity on a global scale.[18] In LAC, China has intensified its engagement by signing free trade agreements with Chile, Costa Rica, Peru, and Ecuador and by incorporating 22 LAC nations into the BRI as of 2023.[19] This strategic involvement is driven by the region's abundant natural resources and significant markets, with China becoming the largest trading partner for Brazil, Chile, Peru, and Uruguay.[20]

China's development finance approach, unlike its Western counterparts (e.g., the United States, the European Union, and the International Monetary Fund), avoids tying aid to governance or human rights conditions, instead adopting a largely hands-off approach.[21] [22] Its noninterference policy means Chinese financing does not depend on democratic or political reforms, unlike Western donors, who often link aid to institutional changes promoting democratic governance and human rights.[23] This distinction is reflected in statements from leaders; after meeting President Xi in 2018, former Bolivian leader Evo Morales remarked, "China's support and aid to Bolivia's economic and social development never attach any political conditions."[24]

Second, China's loan packages typically deliver development financing faster and with fewer administrative hurdles than Western donors.[25] For instance, World Bank "Category A" projects, with strict ESG (environmental, social, and governance) safeguards, take an average of 7.4 years from proposal to

disbursement. In contrast, China's infrastructure loans, which lack strong ESG safeguards, are expedited and average 3.2 years (1,163 days) to complete.[26] Also, by focusing on individual projects, Chinese financing is often disbursed more quickly and efficiently than that of traditional Western donors.[27]

These two features attract leaders seeking quick financing.[28] PRC investments can bolster domestic support by helping leaders fulfill promises to their support base in both democratic and authoritarian settings. In democracies, when elections and term limits constrain leaders' time horizons, such financing aids in keeping campaign pledges before the next election.[29] Even autocrats with longer time horizons[30] must deliver on promises to supporting elites and demonstrate efforts toward the public good.[31]

China seeks to position itself as a reliable partner for LAC countries through development finance, influencing elites, and shaping public opinion. Its strategies include Confucius Institutes to promote Chinese language and culture, sister city agreements to strengthen local government ties, and elite diplomatic visits.[32] Despite these efforts, financial development remains the PRC's most prominent public diplomacy tool, offering citizens improved access to essential public goods. For example, China financed Ecuador's Coca Codo Sinclair Dam, a US$2.34 billion project intended to transform the country's energy sector, although it faced significant challenges, including engineering defects, corruption allegations, tax disputes, financial underperformance, and operational issues before its completion.[33] Similarly, in Jamaica, Chinese investments have significantly expanded infrastructure, including major road networks such as the US$516.67 million North-South Highway, linking Kingston to Ocho Rios.[34] On a broader scale, the PRC is equipped to fund public works initiatives, including hospitals, transportation infrastructure, and energy projects, which contribute to enhanced public services and better living conditions for people in recipient nations.

Yet, accepting development financing from Beijing does not happen in political or institutional isolation. Leaders often enter into these agreements with a clear focus on securing support, understanding that public approval is vital to sustaining their political stability. In LAC, as elsewhere, citizens' approval of government policies and actions serves as a key barometer for gauging a country's support for its leader.[35] Moreover, citizens' buy-in of government policies remains essential for leaders to retain power, even in more autocratic settings.[36] While autocrats do not compete in free and fair elections, they risk protests, mass strikes, or even armed insurrection if they fail to maintain sufficient public favorability, which is partly achieved by providing basic necessities like functioning infrastructure and public goods.[37] In the region, Chinese-financed infrastructure projects often serve as a means for governments to showcase development progress and address public needs, helping to maintain political stability. Unfavorable public sentiment can grow into significant challenges for leaders, threatening their grip on power. In democratic systems, leaders seen as failing to address public interests face the risk of removal through regular elections. Across democratic and autocratic contexts, China's streamlined and less bureaucratic development financing provides a means to deliver public goods efficiently, enhancing domestic approval while positively shaping citizens' views of China as a donor.

The media's coverage plays a key role in shaping leaders' favorability, significantly influencing public opinion.[38] While scholars debate whether narratives are driven by elites (top-down) or activists and social movements (bottom-up), the media consistently amplifies these perspectives.[39] Mass media provides a low-cost source of information, enabling citizen participation in the political process. As a result, governments are incentivized to influence media coverage. In democratic settings, leaders use persuasion, highlighting policy successes and societal initiatives through press conferences, interviews, and speeches. Autocratic leaders, however, often rely on tactics like censorship and propaganda to shape narratives.[40] In both cases, leaders use the media as a governance tool to promote accomplishments and address public concerns.

The media's influence in politics underscores how the media environment shapes leaders' capacity to manage and steer public narratives. In LAC, the media landscape varies significantly, shaping how narratives around Chinese development finance are constructed. In countries with a freer press, such as Trinidad and Tobago, investigative journalism can scrutinize Chinese-backed projects, highlighting potential inefficiencies or environmental concerns. By contrast, in Venezuela, where media freedom

is more restricted, critical reporting on government decisions, including deals with China, is often suppressed.[41] This dynamic influences public opinion, as citizens in freer media environments are exposed to a broader spectrum of views, while those in controlled media settings receive narratives shaped predominantly by government-aligned messaging.

The relationship between a government's decision to receive development finance from the PRC and its media environment affects public perceptions regarding the favorability of Chinese loans. Accepting financing from China is a significant decision that requires leaders to repay investments and expose their countries to potential influence from Beijing. In LAC, Argentina's reliance on Chinese financing has drawn criticism, particularly during periods of economic crisis, raising concerns about its ability to manage and repay its debt without jeopardizing economic stability.[42] Such agreements not only invite scrutiny from citizens and the media but also raise broader questions about long-term economic sovereignty. Some loan terms have proven particularly controversial, especially in developing countries that struggle to meet repayment obligations to the PRC.[43]

In countries where the media can freely criticize the government and investigative journalism is permitted, the press holds leaders accountable. It can also evaluate loan terms, track project progress, expose corruption in project implementation, or question the decision to borrow from China.[44] While a free press does not guarantee negative coverage of the PRC, such coverage becomes more likely in freer media systems. To avoid negative publicity, autocrats receiving Chinese investments often seek positive media coverage and employ manipulative tactics to secure it.

In sum, LAC governments seeking to extend their time in power are incentivized to accept Chinese development financing due to its minimal bureaucratic requirements and faster deployment. While increased cash flow can benefit citizens, their perceptions of government competency shape their views on such policies. For instance, in LAC, citizens with unfavorable views of their government may overlook the benefits of working with China, even when investments yield positive outcomes. China, meanwhile, gains financially and enhances its influence and prestige as an alternative lender, bolstering its image in recipient countries, particularly among those benefiting from public works. These advantages translate to greater favorability toward China, though this varies by media environment. In LAC, citizens who favor their own government tend to view China more positively, while those in freer media systems are more likely to encounter negative coverage. As a result, positive perceptions of China diminish as a country's capacity to criticize its government increases.

Drawing from this argument, there are three possible hypotheses:

- ***Hypothesis 1:*** *Approval of China increases in Latin America and the Caribbean as a country's level of Chinese financing increases.*
- ***Hypothesis 2:*** *In Latin America and Caribbean countries, the positive effect of Chinese financing on the perception of China increases as the level of domestic government favorability increases****.***
- ***Hypothesis 3:*** *The positive effect of Chinese financing on the perception of China diminishes as the level of media freedom increases in Latin America and Caribbean countries****.***

This theoretical framework underscores the importance of domestic factors, such as government approval and media freedom, in shaping the public's favorability toward China. To test the empirical implications of our theory, we constructed the following research design to outline the data and estimation strategy. This approach ensures the theory is rigorously assessed within the LAC context.

RESEARCH DESIGN

To evaluate the hypotheses, we analyzed survey responses from the 25 LAC countries that received Chinese development financing between 2006 and 2021. Below, we outlined the data, key variables, and our approach to understanding these relationships.

Dependent Variable

To assess citizens' perceptions of China, we drew on data from the Gallup World Poll (GWP), specifically, responses to the question: *Do you approve or disapprove of the job performance of the leadership of China?*[45] We simplify these responses into a binary variable, assigning a value of 1 for respondents who approve of China's leadership and 0 for those who disapprove or indicate uncertainty ("don't know").

Variables of Interest

Investments from China. To measure Chinese development finance, we use AidData's Global Chinese Development Finance dataset (GCDF version 3.0). This dataset includes detailed information on project-level investments and recipient countries from 2000 to 2021, spanning 147 lower- and middle-income countries. It documents 20,985 development projects with a total investment value of US$1.34 trillion (constant 2021 US$).[46] For this analysis, we specifically use the dollar value amount the PRC has invested in each country.[47] For LAC, the dataset covers 25 countries.

Domestic government approval. We use data from the GWP that asks respondents: *Do you approve or disapprove of the job performance of the leadership of this country?* Respondents can respond with approve, disapprove, don't know, or refuse. We coded "refuse" as missing observations. Responses marked "refuse" were treated as missing data. We then created a binary variable for domestic government approval, assigning a value of 1 for approval and 0 for disapproval or uncertainty ("don't know"). (See Table 1 for details). The variables of interest from the GWP dataset cover 2006 to 2021.

Media Freedom. We use Solis and Waggoner's (2021) Media System Freedom (MSF) dataset, which constructs a measure of media freedom as a latent variable by synthesizing 10 existing indices through an advanced item response theory model. This dataset provides comprehensive coverage of media freedom across 197 countries from 1946, extended from the original 2017 to 2021 (see Table 4 for descriptive statistics).

Table 4. Descriptive statistics of dependent and variables of interest

Variable	Obs	Mean	Std. Dev.	Min	Max
PRC Approval	272,699	.273	.445	0	1
PRC Investment, Million US$	289,790	1,305.663	3,991.722	0	29,290.922
MSF	303,942	.692	.167	.058	.984
Domestic Gov Approval	298,893	.391	.488	0	1

Notes: *PRC approval* and *domestic government approval* are measured at the individual level, while *Chinese investments* and *Media System Freedom (MSF)* are at the country level.

For the analysis, we use a two-way fixed effect linear probability model[48] due to its simplicity and ease of interpretation. In this model, the coefficients represent the change in the probability of the dependent variable being 1 associated with a one-unit change in the independent variable, making results more intuitive to understand. Linear probability models are particularly well-suited for handling fixed effects in datasets with high-dimensional variations, such as those involving multiple countries and years.

We use this model to evaluate our theory through three hypotheses, detailed below, and their corresponding regression equations.

- ***Hypothesis 1:*** *Positive perceptions of China increase as a country's level of Chinese financing increases.*

  $$\text{China Apr}_{vit} = \beta_0 + \beta_1 \log(\text{PRC_inv})_{i,t-1} + \text{Controls}_{vit} + \epsilon_{it}$$

- ***Hypothesis 2:*** *The positive effect of Chinese financing decreases as the level of domestic government favorability decreases.*

  $$\text{China Apr}_{vit} = \gamma_0 + \gamma_1 \log(\text{PRC_inv})_{i,t-1} + \gamma_2 \text{Dom_aprv}_{vit} + \gamma_3 \text{Dom_aprv}_{vit} * \log(\text{PRC_inv})_{i,t-1} + \text{Controls}_{vit} + \epsilon_{it}$$

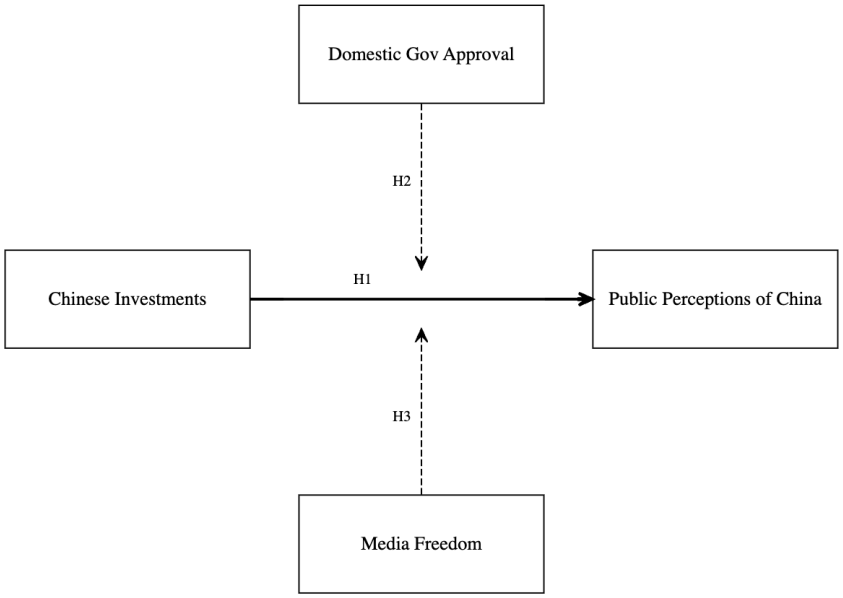
- ***Hypothesis 3:*** *The positive effect of Chinese financing diminishes as the level of media freedom increases.*

  $$\text{China Apr}_{vit} = \lambda_0 + \lambda_1 \log(\text{PRC_inv})_{i,t-1} + \lambda_2 \text{MSF}_{it} + \lambda_3 \text{MSF}_{it} * \log(\text{PRC_inv})_{i,t-1} + \text{Controls}_{vit} + \epsilon_{it}$$

Where *v* refers to the individual, *i* refers to the country, and *t* refers to the year. The controls include country and year fixed effects, as well as individual fixed effects that include gender, employment, age, education, income, and the marital status of the individual.

Figure 3 visually summarizes the core relationships explored in our analysis. The horizontal arrow labeled H1 illustrates the direct relationship between Chinese investments and public perceptions of China's leadership, reflecting the expected positive impact of financial support from China. The dashed downward arrow labeled H2 captures how stronger domestic government approval enhances this relationship, suggesting that favorable views of local leadership amplify the public's positive perceptions of China. Conversely, the dashed upward arrow labeled H3 represents how greater media freedom moderates and potentially weakens this relationship, highlighting the role of independent media in shaping or challenging narratives around Chinese investments.

Figure 3. Theoretical Model: How Chinese Investments Influence Public Perceptions of China



Note: This diagram illustrates the relationships between Chinese investments, domestic government approval, media freedom, and public perceptions of China. The solid arrow represents a causal effect, while the dashed lines represent moderating effects.

The relationships and interactions outlined in these hypotheses are represented in the diagram, providing a clear visualization of how Chinese investments, directly and indirectly, influence public perceptions of China's leadership, with domestic government approval and media freedom acting as key moderators. The next section presents the findings from the model estimations, illustrating how these theoretical expectations align with the observed data.

FINDINGS

China's growing economic presence in LAC has raised important questions about how development financing shapes public perceptions. Our analysis explores the relationship between Chinese development financing, domestic government approval, and media freedom to test three key hypotheses about China's ability to garner favorable public opinion in recipient countries. The findings support some of our theoretical expectations while offering new insights into the conditions under which Chinese financing influences public attitudes.

Chinese Development Financing: A Persistent Driver of Public Opinion

The results strongly support our first hypothesis: As countries receive more development financing from China, citizens are more likely to approve of China's leadership. In the baseline model (Table A1 in the Appendix), a 1 percent increase in Chinese development financing is associated with a 0.068 percentage point rise in the likelihood of citizens expressing approval. This effect becomes even more pronounced in the expanded model (see Table 5), where the increase ranges from 0.11 to 0.29 percentage points.

Table 5. Coefficient estimates for Hypotheses 1, 2, and 3

	H1	H2	H3
Log(aid)	.0011*** (.00016)	.00152*** (.00018)	.00293*** (.00068)
Log(GDP/capita)	.19025*** (.02075)	.18408*** (.02085)	.12571*** (.02231)
Dom gov aprvl		.12629*** (.00356)	
Dom gov aprvl *log(aid)		-.00192*** (.00023)	
MSF			.27285*** (.03022)
MSF*log(aid)			-.00261** (.00093)
Observations	199,750	197,496	199,750
R-squared	.04658	.0589	.04698

Notes: Robust standard errors are in parentheses. The controls not shown here include country, year, and individual fixed effects. The individual fixed effects include gender, employment, age, education, income, and marital status. The intercepts for each regression are included for all 25 countries in the sample. The full regression table is in Table A2 in the Technical Appendix.

**** p<0.001, ** p<0.01, * p<0.05*

These findings align with our theoretical expectation that Chinese investment, which often focuses on visible and impactful projects like infrastructure and energy, enhances perceptions of China. By providing swift and substantial financial resources without the bureaucratic delays and conditionalities of Western donors, China creates a tangible connection between its financing and developmental outcomes that resonate with local populations. These results reinforce the argument that Chinese financing serves not only economic objectives but also public diplomacy goals by improving China's favorability in recipient countries.

The Role of Domestic Government Approval

Our second hypothesis—that the positive effect of Chinese financing increases with higher levels of domestic government approval—receives mixed support. While the findings confirm that domestic government approval moderates the relationship, the direction is opposite to what we initially theorized.

In both the baseline and expanded models, higher domestic government approval diminishes the positive effect of Chinese financing on public perceptions of China. Specifically, in the expanded model, the interaction between domestic government approval and Chinese financing reduces the likelihood of public approval of China's leadership by 0.19 percentage points. This effect is statistically significant at the 1 percent level, as indicated by the p-value associated with the interaction term ($p<0.01p < 0.01p<0.01$). The significance was determined using robust standard errors, as shown in Table 5, which account for heteroscedasticity and ensure the reliability of the estimates.

This counterintuitive result may stem from the competitive nature of credit attribution. In countries where citizens view their domestic government favorably, they are more likely to attribute developmental successes to domestic leaders rather than external financiers. Conversely, in contexts where domestic government approval is low, Chinese investments appear to fill a political and economic vacuum, gaining more recognition from citizens. This finding highlights an important nuance in the shaping of public perceptions of China: Domestic political contexts can either amplify or diminish the perceived benefits of Chinese financing, depending on how citizens attribute responsibility for developmental outcomes.

Media Freedom and the Limits of External Influence

The third hypothesis—that the positive effect of Chinese financing lessens as media freedom increases—finds partial support in the data. In the baseline model, the interaction between media freedom and Chinese financing is negative but not statistically significant. However, in the expanded model, this interaction becomes significant, with the positive effect of Chinese financing reduced by 0.26 percentage points in freer media environments.

These findings suggest that freer media systems introduce a layer of scrutiny that tempers the influence of external financing on public perceptions. While media freedom is independently associated with a higher approval of China's leadership (a coefficient of 0.27 in the expanded model), the ability of freer media to critically evaluate and contextualize external investments may reduce the uncritical acceptance of Chinese financing as an unalloyed good. This dynamic underscores the role of media environments in shaping the narrative around development finance, particularly in democratic contexts where journalistic independence allows for diverse perspectives.

Theory Meets Reality

The results of the analysis largely align with the theoretical framework, though with some notable deviations. Hypothesis 1 finds robust support: Chinese development financing improves perceptions of China's leadership, consistent with the idea that Beijing's swift, no-strings-attached financing appeals to citizens by delivering tangible benefits. However, the findings for Hypotheses 2 and 3 suggest a more nuanced interplay between domestic and media environments and public opinion.

In the case of domestic government approval, the dampening effect on Chinese financing's influence challenges the assumption that favorable views of domestic leaders would spill over to China. Instead, high domestic government approval appears to create competition for credit attribution, diminishing the perceived role of Chinese investments. Similarly, while freer media environments independently enhance China's approval, they also impose constraints on the influence of external financing by fostering critical discourse and holding governments accountable.

Building on the theoretical framework, we extended the investigation by incorporating a difference-in-differences approach to examine how switching diplomatic recognition from Taiwan to the PRC influences public approval of Chinese leadership in countries receiving substantial development financing from China. To further illustrate these findings, we include a brief case study of Panama.

Recognizing Beijing and PRC Leadership Approval

China's diplomatic strategies in LAC have undergone significant evolution, particularly as countries have shifted their diplomatic recognition from Taiwan to the PRC. To understand how this shift affects public approval of Chinese leadership in countries already receiving substantial development financing from China, we use a difference-in-differences (Diff-in-Diff) analysis (see Annex B for details about the analysis). This method compares how public perceptions of China change over time in two groups: countries that switched recognition (the treatment group) and those that did not (the control group). By examining changes in both groups before and after the recognition switch, this approach helps isolate the specific impact of the switch from other factors influencing public sentiment, such as global economic conditions or regional political trends.

Our sample includes 25 LAC countries, with Panama, the Dominican Republic, El Salvador, and Nicaragua being the countries that made the switch within the timeframe of our data (2006 to 2021). Countries such as Honduras, which switched recognition outside this timeframe (in 2023), are excluded from the analysis. The results show a marked increase in the approval of China's leadership following a switch in recognition, with key moderating roles played by domestic government approval and media freedom (see Table 6). By applying this approach, we can better understand the broader implications of China's evolving diplomatic strategy in the region.

Table 6. Diff-in-Diff Regression Estimates

	H1	H2	H3
Recognition of PRC	.06668***	.06999***	.07351***
	(.00583)	(.00583)	(.00586)
Log(aid)	.00094***	.00141***	.00275***
	(.00016)	(.00018)	(.00068)
Log(GDP/capita)	.08421***	.07426**	-.00343
	(.02261)	(.02266)	(.02439)
Dom gov aprvl		.12814***	
		(.00356)	
Dom gov aprvl *log(aid)		-.00208***	
		(.00023)	
MSF			.31487***
			(.03026)
MSF*log(aid)			-.00261**
			(.00093)
Observations	199,750	197,496	199,750
R-squared	.04725	.05963	.04779

Notes: Robust standard errors are in parentheses. The controls not shown here include country, year, and individual fixed effects. The individual fixed effects include gender, employment, age, education, income, and marital status. The intercepts for each regression are included for all 25 countries in the sample. The full regression table can be found in Table B1 in the Technical Appendix.

**** p<0.001, ** p<0.01, * p<0.05*

The central finding is that recognizing the PRC yields a significant boost to public approval of Chinese leadership. Across all specifications, the coefficient for "Recognizing PRC" is positive, robust, and statistically significant at the 0.001 level. Specifically, switching recognition to the PRC is associated with an increase in the likelihood of approving China's leadership by 6.7 to 7.4 percentage points.

This increase underscores the importance of diplomatic alignment in shaping public opinion. Recognition of the PRC may signal stronger ties between recipient countries and China, potentially amplifying the perceived benefits of Chinese development finance. This is consistent with the idea that diplomatic shifts heighten the visibility of China's role as a partner, aligning with broader narratives of China as a rising global power.

The impact of recognition is further shaped by domestic government approval and media freedom. The interaction between domestic government approval and Chinese financing remains significant in this model, with higher domestic government approval amplifying the effect of diplomatic recognition. In contexts where citizens view their domestic leaders favorably, the alignment with China appears to reinforce positive perceptions of domestic governance and Chinese leadership.

Similarly, greater media freedom enhances the effect of switching recognition on public approval of China. While freer media environments are often associated with critical coverage of foreign powers, the results suggest that in the context of diplomatic shifts, media narratives may emphasize the strategic importance and potential benefits of closer ties with China.

The combined panel of graphs (see Figure 4) illustrates trends in Chinese investments in Panama, the Dominican Republic, and El Salvador over time. Each graph highlights the year of the country's diplomatic switch from Taiwan to the PRC, marked by a red dashed line. These visualizations collectively underscore China's strategic use of development finance to deepen its influence in the LAC region following diplomatic realignments.

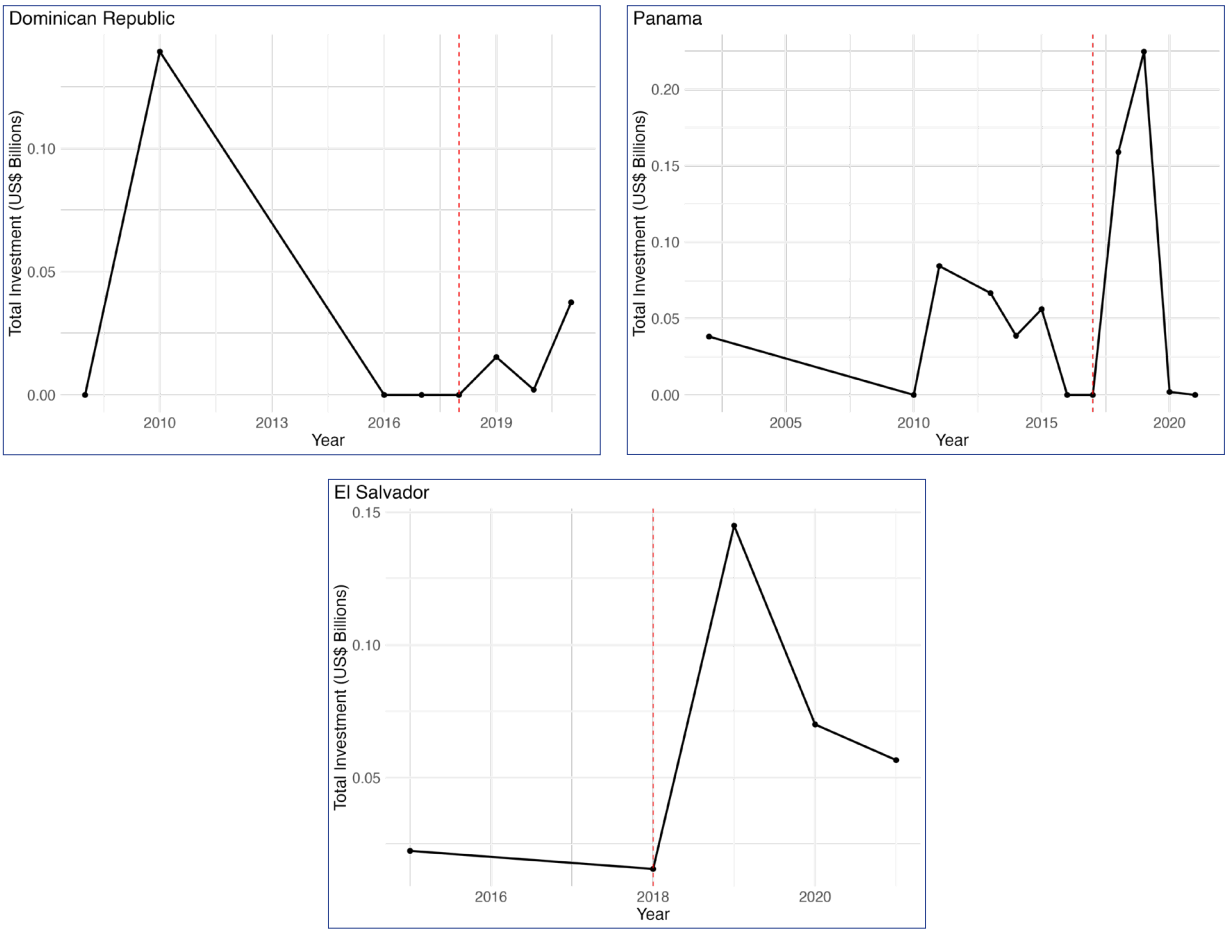
Before their respective diplomatic switches, all three countries exhibited minimal Chinese investments, underscoring the constraints imposed by their prior alignment with Taiwan. For Panama (pre-2017) and El Salvador (pre-2018), financial engagement was almost nonexistent. In contrast, the Dominican Republic experienced sporadic investment activity in the early 2010s. These limited initiatives likely reflected exploratory efforts or niche opportunities that did not result in sustained engagement. The variation in trends before the switch highlights the nuanced nature of China's engagement strategy, which adapts to local contexts and priorities before formal diplomatic ties are established.

The post-switch periods for all three countries demonstrate clear increases in Chinese investments, showcasing the catalytic impact of diplomatic realignment:

- **Panama (2017)**: Investments rose significantly after 2017, reflecting China's efforts to reward its new ally and capitalize on Panama's strategic location as a global trade hub.
- **Dominican Republic (2018)**: Post-2018, the Dominican Republic witnessed modest but steady growth in Chinese investments, suggesting cautious engagement and a focus on sectors with longer-term returns.
- **El Salvador (2018)**: El Salvador experienced the sharpest increase in investments immediately following its 2018 switch, reflecting a rapid push by the PRC to solidify ties. However, the subsequent decline suggests a stabilization or strategic shift in financial priorities.

Across all three cases, China's use of development finance as a diplomatic and economic tool is evident. However, the scale and pace of investment growth differ based on each country's geopolitical and economic context.

Figure 4. PRC investments before and after recipient countries recognized the PRC



This comparative analysis emphasizes that while diplomatic recognition triggers increased Chinese financial activity, the trajectory of investments depends on a combination of strategic priorities, recipient country contexts, and geopolitical considerations.

Understanding these dynamics is essential for assessing how China's financial strategies align with its long-term objectives and recipient countries' development priorities. The next section explores Panama's case in detail, examining how its role as a global trade hub has positioned it as a key player in China's LAC engagement strategy. This case study provides insights into how infrastructure investments and strategic financing reflect Beijing's geopolitical ambitions while shaping Panama's developmental trajectory.

Panama Case Study

Panama's relationship with China has undergone a dramatic transformation, culminating in its recognition of Beijing in 2017. Before this pivotal moment, Panama maintained diplomatic ties with Taiwan, leveraging its strategic position to benefit from the rivalry between the PRC and the Republic of China (ROC). By balancing these relationships, Panama secured economic and strategic advantages without committing to one side.

Panama's initial reluctance to recognize the PRC stemmed from its ability to extract benefits from the competition between Beijing and Taipei. As one of Latin America's most economically developed nations in the early 2000s, Panama became a prime target for influence by both governments.[49] The Panama Canal, a critical conduit for global trade connecting the Atlantic and Pacific oceans, further elevated its

strategic value.[50] Hong Kong-based Hutchison Whampoa (which merged with Cheung Kong Group and was renamed CK Hutchison) secured a 25-year lease to manage two key ports: Balboa on the Pacific side and Cristóbal at the Atlantic entrance of the Panama Canal. The concession was renewed in 2021 for an additional 25 years.[51] For Taiwan, the canal served as an essential gateway to the Americas, underscoring Panama's significance in its export-oriented economy.

Both the PRC and ROC demonstrated their commitment to Panama through substantial investments in infrastructure, agriculture, and education.[52] This competition addressed Panama's development needs while enabling the country to maintain trade relations with both sides. For example, in 2006, Panama's exports to Taiwan surpassed those to the PRC,[53] reflecting balanced economic engagement. By maintaining ties with Taiwan, Panama avoided entanglement in broader geopolitical tensions while reaping developmental and economic benefits from both powers.[54]

The 2017 Diplomatic Shift

In June 2017, Panamanian President Juan Carlos Varela abruptly severed diplomatic ties with Taiwan. This decision shocked the ROC, given its longstanding relationship and Taiwan's substantial investments in Panama's development.[55] Taiwan responded by immediately ending all bilateral cooperation projects and withdrawing its diplomatic staff.[56] Simultaneously, the Panamanian government announced its recognition of the PRC and adherence to the "One China" principle.[57]

While the decision shocked the international community, it was driven by two key factors: China's growing global influence and Panama's domestic development needs. By 2017, China's Belt and Road Initiative had positioned the PRC as a dominant development partner for the Global South. For Panama, aligning with China offered strategic opportunities to address pressing infrastructure demands, particularly regarding the modernization and expansion of the Panama Canal. The PRC's capacity to finance and execute large-scale projects made it a more attractive partner than Taiwan for Panama's long-term development goals.[58]

By recognizing the PRC, Panama signaled its commitment to an emerging global power capable of meeting its economic priorities. This shift also positioned Panama as a key ally in China's growing network of influence in Latin America.

Economic and Cultural Ties After 2017

Since recognizing the PRC in 2017, Panama has transitioned from primarily commercial ties with China to a multifaceted partnership encompassing economic, cultural, and strategic dimensions. The BRI has amplified Chinese influence in Panama through significant investments in infrastructure, security initiatives, and cultural exchanges.

Economic and Strategic Influence

Chinese companies have played a leading role in developing Panama's infrastructure. Notable projects include the construction of a convention center, a cruise port, and the Fourth Bridge over the Panama Canal.[59] These initiatives underscore China's strategic focus on securing a presence along the canal's Pacific shore.

Port infrastructure has also become a key area of Chinese investment. In 2016, the China-based Landbridge Group acquired control of Margarita Island in the Colón Free Trade Zone, the largest free trade zone in the Western Hemisphere, through a US$900 million deal. This acquisition established the Panama-Colón Container Port (PCCP) as a deepwater hub for megaships. The China Communications Construction Company and the China Harbor Engineering Company undertook the construction and expansion of the PCCP; both companies are active in China's controversial island-building initiatives in the South China Sea.[60]

Further consolidating its presence, Chinese firms like Hutchison and Landbridge operate parts of three key ports: Balboa, Colón, and Cristóbal. Landbridge's broader strategy includes a 99-year lease on a strategically significant port in Darwin, Australia, reflecting China's ambition to control critical global trade nodes.[61]

Beyond infrastructure, China has addressed Panama's environmental challenges. In 2020, the PRC announced plans for a water management system to combat droughts, ensuring the long-term viability of the Panama Canal.[62] Meanwhile, the "Shenzhen Safe City" project introduced surveillance systems aimed at reducing crime in Panama, though critics argue these systems extend China's data collection capabilities and pose sovereignty risks.[63]

Cultural Exchange and Soft Power

Cultural diplomacy has become a central feature of the PRC-Panama relationship. The Confucius Institute, established at the University of Panama in 2018, promotes Mandarin language courses, cultural workshops, and public outreach programs. These initiatives aim to foster a deeper understanding of Chinese culture among Panamanians.[64]

China has also expanded educational ties by offering scholarships to Panamanian students to study in Chinese universities, creating a network of leaders with direct exposure to Chinese governance and culture.[65] Additionally, cultural events such as Chinese New Year celebrations, art exhibitions, and culinary festivals have strengthened bilateral ties. Chinese state-owned media, such as Xinhua, have increased their presence in Panama, emphasizing the benefits of PRC cooperation.[66] While these initiatives promote mutual understanding, they also serve as tools of soft power, aligning public opinion with Beijing's geopolitical objectives. Critics argue that institutions like Confucius Institutes may suppress discussions of sensitive topics, including Taiwan and human rights.[67]

These efforts build upon a deep historical foundation of Chinese presence in Panama, which predates the formalization of diplomatic relations in 2017. Chinese immigrants first arrived in Panama in the mid-1800s to work on the transcontinental railroad, and over the next century, their relatives followed. This strengthened family ties, which contributed to the development of an ethnic Chinese culture in Panama. Today, the Chinese community makes up about 4 percent of Panama's population.[68] In 2004, the Panamanian Congress established March 30 as the "National Day for the Chinese Ethnic Group" to honor its significant contributions to the country's progress. Later, in 2015, the Ministry of Social Development formed the National Council on the Chinese Ethnic Group to support recognition and integration initiatives. Only two years later, Panama chose to cut off diplomatic relations with Taiwan and decided to strengthen this strategic and long-standing relationship that had developed since the nineteenth century.

Broader Implications

China's growing presence in Panama has raised concerns about its strategic implications, particularly regarding control of key ports adjacent to the canal. Critics fear that China's influence could undermine the neutrality of the Panama Canal, as governed by international treaties. Potential violations of Panama's Exclusive Economic Zone and fears of canal closures during military conflicts have also been highlighted as risks.[69]

Panama's relationship with the PRC reflects China's broader strategy of securing influence in strategically important locations worldwide. This partnership has brought notable economic and cultural opportunities to Panama while also presenting nuanced challenges. As the relationship evolves, Panama faces the task of balancing its development goals with considerations of sovereignty and neutrality.

CONCLUSION

In this report, we set out to analyze how China's development financing strategies shape public perceptions of its leadership in LAC. Using survey data to test our theoretically derived hypotheses, we analyzed the relationships between Chinese investments, domestic political dynamics, and media freedom to shed light on the drivers of public opinion in the region. This concluding section summarizes some overarching insights from the findings and offers policy recommendations to SOUTHCOM, the U.S. government, and partner nations.

Chinese development financing influences public approval of China's leadership

The principal analysis reveals that Chinese development financing significantly enhances public approval of China's leadership across LAC. As countries receive an increase in development finance flows from the PRC, citizens increasingly associate these investments with a more positive view of China's leadership. However, this relationship is moderated by domestic factors, including government approval and media freedom. Countries with popular domestic leaders exhibit weaker effects of Chinese financing on public opinion, as citizens are more inclined to attribute developmental successes to their governments rather than external actors. Additionally, freer media environments introduce scrutiny, reducing the ability of Chinese financing to sway public perceptions with its finance development. These findings suggest that the success of China's development financing in influencing public opinion is deeply embedded in local political and informational contexts.

How diplomatic alignment shapes perceptions of China

Among a subset of LAC countries, diplomatic alignment with the PRC amplifies the impact of Chinese development financing on public opinion of PRC leadership. Countries that switched diplomatic recognition from Taiwan to the PRC during the study period—such as Panama, the Dominican Republic, El Salvador, and Nicaragua—saw a notable boost in the public approval of China's leadership. This dynamic underscores how this symbolic shift in diplomatic recognition can yield actual benefits for countries seeking PRC development finance. Our case study of Panama highlights how diplomatic realignment can heighten the visibility and perceived impact of Chinese investments, offering a tangible example of these broader trends.

The findings' broader implications

This study contributes to a deeper understanding of China's engagement strategies in LAC by highlighting the mechanisms through which Chinese development financing influences public opinion. It also demonstrates the importance of domestic factors—such as government approval and media freedom—in shaping the outcomes of these strategies. While Chinese investments hold the potential to elevate perceptions of China's leadership, their effectiveness depends on the broader political and media landscape within recipient countries.

Policy Recommendations

- **Strengthen people-to-people engagements.** China's focus spans beyond elites. Public diplomacy efforts like Confucius Institutes, scholarships, and journalist exchanges allow China to influence LAC citizens through soft power. This can include (but is not limited to) expanding SOUTHCOM's professional military education and International Military Education and Training programs to build trust and mutual respect. More broadly, the U.S. government should maintain the Department of State's international exchange programs like the Fulbright Program and the International Visitor Leadership Program, which foster mutual understanding in the arts, sciences, government, and business. These people-to-people exchanges help position U.S. forces as a more reliable and transparent alternative to their Chinese counterparts.

- **Invest in free and open media.** Investing in investigative LAC journalism to strengthen investigative capacity, including digital and hard media infrastructure, will help journalists and outlets develop the skills needed for in-depth reporting. Advocating for robust freedom of information laws in LAC countries can also enhance journalistic capacity by expanding access to government data and strengthening investigative reporting. This aligns with U.S. good governance and democracy goals while promoting transparency around PRC project terms and outcomes that might otherwise remain hidden. Programs encouraging investigative journalism on development finance from all international donors would be beneficial.
- **Promote transparency in security cooperation to strengthen trust.** The United States should ensure transparency in military and security engagements to foster greater trust in U.S. assistance and reinforce its credibility. This openness can provide a constructive contrast to less transparent partners like China, making U.S. engagement more attractive and enhancing approval among not only elites but citizens in LAC. Coupling this with strategic communication efforts that highlight the benefits of U.S. security assistance, humanitarian aid, and development initiatives will further strengthen confidence in U.S.-LAC security partnerships.
- **Monitor shifts in diplomatic alignment.** Track the seven countries at risk of switching diplomatic recognition from Taiwan to the PRC—Belize, Guatemala, Haiti, Paraguay, St. Kitts and Nevis, Saint Lucia, and St. Vincent and the Grenadines—and proactively strengthen military and security ties to mitigate the impact on U.S. influence.

TECHNICAL APPENDIX

Annex A. Full Regression Tables

Table A1. Simple regression for LAC

	H1	H2	H3
Log(aid)(t-1)	.00068***	.00067***	.00122*
	(.00014)	(.00015)	(.0005)
Dom gov aprvl (t-1)		.11337***	
		(.00293)	
Dom gov aprvl (t-1)*log(aid)(t-1)		-.00044*	
		(.0002)	
MSF (t-1)			.28204***
			(.02319)
MSF(t-1)*log(aid)(t-1)			-.00102
			(.0007)
Constant	.59229***	.54711***	.56578***
	(.01585)	(.01579)	(.01857)
Observations	258822	255542	258822
R-squared	.02078	.03443	.02141

Robust standard errors are in parentheses. Country and Year fixed effects are included in the regressions but not displayed in this table.

*** p<0.001, ** p<0.01, * p<0.05

Table A2. Basic regression for LatAm

	H1	H2	H3
Log(aid)(t-1)	.0011***	.00152***	.00293***
	(.00016)	(.00018)	(.00068)
Log(GDP/capita)(t-1)	.19025***	.18408***	.12571***
	(.02075)	(.02085)	(.02231)
Female	-.10098***	-.1002***	-.10101***
	(.00207)	(.00207)	(.00207)
Employed	.01404***	.01361***	.01389***
	(.00215)	(.00215)	(.00215)
Age	-.00434***	-.00393***	-.00433***
	(.00029)	(.00029)	(.00029)
Age2	.00003***	.00003***	.00003***
	(0)	(0)	(0)
Education	.05427***	.05829***	.05436***
	(.00167)	(.00167)	(.00167)
Log(income)	.00809***	.00783***	.00805***
	(.00054)	(.00054)	(.00054)
Married	-.00808***	-.00885***	-.00807***
	(.00221)	(.00221)	(.00221)
Dom gov aprvl (t-1)		.12629***	
		(.00356)	
Dom gov aprvl (t-1)*log(aid)(t-1)		-.00192***	
		(.00023)	
MSF (t-1)			.27285***
			(.03022)
MSF(t-1)*log(aid)(t-1)			-.00261**
			(.00093)
Constant	-.98015***	-.98777***	-.70375***
	(.14796)	(.14873)	(.15405)
Observations	199750	197496	199750
R-squared	.04658	.0589	.04698

Robust standard errors are in parentheses. Country and Year fixed effects are included in the regressions but not displayed in this table.

**** p<0.001, ** p<0.01, * p<0.05*

Annex B. Difference-in-Difference Estimation

To better understand how switching diplomatic recognition from Taiwan to the People's Republic of China (PRC) influences public perceptions of China, we utilize a difference-in-differences (Diff-in-Diff) approach. This method allows us to assess the changes in public sentiment before and after a country makes this recognition switch while accounting for trends in countries that did not make such a switch.

We evaluate this using three regression models, each aligned with our hypotheses about the factors shaping public perceptions of China. Below, we outline how this method is applied to each hypothesis.

Model 1: The Direct Effect of Chinese Financing

This model examines the relationship between Chinese investments and public perceptions of China, incorporating the recognition switch as a key variable. Specifically, we test how perceptions change in countries that switch recognition and whether this change amplifies the impact of Chinese financing. The equation for this model is:

- $China\ Apr_{vit} = \beta_0 + \beta_1\ log(PRC_inv)_{i,t-1} + \beta_2 + Switch_{it} + \beta_3\ log(PRC_inv)_{i,t-1} + Switch_{it} + Controls_{vit} + \epsilon_{it}$

This model identifies whether Chinese investments have a stronger or weaker effect on public perceptions following a country's recognition switch.

Model 2: The Role of Domestic Government Approval

This model explores how the effect of Chinese investments on public perceptions varies depending on the level of domestic government approval. We also investigate whether the recognition switch interacts with these dynamics, potentially influencing how citizens view both their own government and China. The equation is:

- $China\ Ap = + log(PRC_inv + Dom_apr + Dom_apr X log(PRC_inv X Switc + log(PRC_inv X Switc + Control +$

This model highlights how domestic political dynamics can shape public reactions to Chinese financing, particularly in the context of a diplomatic recognition switch.

Model 3: The Role of Media Freedom

The third model examines whether greater media freedom influences how Chinese financing affects public perceptions, particularly after a recognition switch. Media freedom can amplify critical narratives or foster transparency, potentially weakening the effect of Chinese financing. The equation is:

- $China\ Ap = + log(PRC_inv + MS + MS\ X\ log(PRC_inv) + Switc + log(PRC_inv\ X\ Switc + Control +$

This model investigates how independent media influences public perceptions of Chinese financing, particularly following a diplomatic recognition switch.

Table B1. Difference-in-Difference Regression Estimates

	H1	H2	H3
Recognition of PRC	.06668***	.06999***	.07351***
	(.00583)	(.00583)	(.00586)
Log(aid)(t-1)	.00094***	.00141***	.00275***
	(.00016)	(.00018)	(.00068)
Log(GDP/capita)(t-1)	.08421***	.07426**	-.00343
	(.02261)	(.02266)	(.02439)
Female	-.10129***	-.10052***	-.10135***
	(.00207)	(.00207)	(.00207)
Employed	.01405***	.01363***	.01388***
	(.00215)	(.00215)	(.00215)
Age	-.00431***	-.00389***	-.0043***
	(.00029)	(.00029)	(.00029)
Age2	.00003***	.00003***	.00003***
	(0)	(0)	(0)
Education	.05435***	.05838***	.05447***
	(.00167)	(.00167)	(.00166)
Log(income)	.00812***	.00785***	.00808***
	(.00054)	(.00054)	(.00054)
Married	-.00838***	-.00917***	-.0084***
	(.00221)	(.00221)	(.00221)
Dom gov aprvl (t-1)		.12814***	
		(.00356)	
Dom gov aprvl (t-1)*log(aid)(t-1)		-.00208***	
		(.00023)	
MSF (t-1)			.31487***
			(.03026)
MSF(t-1)*log(aid)(t-1)			-.00261**
			(.00093)
Constant	-.22567	-.20679	.18676
	(.16116)	(.16156)	(.16859)
Observations	199750	197496	199750
R-squared	.04725	.05963	.04779

Robust standard errors are in parentheses

**** p<0.001, ** p<0.01, * p<0.05*

ENDNOTES

1. Xiaojun Li, "Does Conditionality Still Work? China's Development Assistance and Democracy in Africa," Chinese Political Science Review 2 (February 03, 2017): 201–220, https://doi.org/10.1007/s41111-017-0050-6.
2. Samantha Custer et al., "Silk Road Diplomacy: Deconstructing Beijing's Toolkit to Influence South and Central Asia" (Williamsburg, VA: AidData at William & Mary, 2019), https://www.researchgate.net/publication/338685911_Silk_Road_Diplomacy_Deconstructing_Beijing's_Toolkit_to_Influence_South_and_Central_Asia.
3. The G7 consists of the world's seven largest advanced economies: Canada, France, Germany, Italy, Japan, the United Kingdom, and the United States.
4. Argentina was set to join BRICS in the recent 2023 expansion, but the election of the Western-sympathetic Javier Milei derailed this process.
5. "Development finance" and "investments" are used interchangeably throughout the paper. Note that "development finance" includes aid (also known as Official Development Assistance or ODA) and debt (also known as Other Official Flows or OOF).
6. Pierre Mandon and Martha Tesfaye Woldemichael, "Has Chinese aid benefited recipient countries?" Brookings (April 6, 2023), https://www.brookings.edu/articles/has-chinese-aid-benefited-recipient-countries/.
7. Democracy report 2024: Democracy winning and losing at the ballot (Gothenburg, Sweden: V-Dem Institute, University of Gothenburg, 2024), 55, https://v-dem.net/publications/democracy-reports/.
8. Fei-Ling Wang and Esi A. Elliot, "China in Africa: Presence, perceptions and prospects," Journal of Contemporary China, 23(90), E. A. (2014): 1012–1032, https://doi.org/10.1080/10670564.2014.898888.
9. Deborah Bräutigam. "Aid 'With Chinese Characteristics': Chinese Foreign Aid and Development Finance Meet the OECD-DAC Aid Regime." Journal of International Development 23, no. 5 (2011): 752–764. https://doi.org/10.1002/jid.1798.; Democracy report 2024: Democracy winning and losing at the ballot (Gothenburg: V-Dem Institute, University of Gothenburg, 2024); and Ammar Malik et al., Banking on the Belt and Road Road: Insights from a new global dataset of 13,427 Chinese development projects (Williamsburg, VA: AidData at William & Mary, September 2021).
10. We include all available Latin American and Caribbean (LAC) countries from AidData's Chinese Development Finance dataset (version 3). AidData compiles information for low- and middle-income countries only. The 25 countries in our analysis are: Argentina, Barbados, Bolivia, Brazil, Chile, Colombia, Costa Rica, Cuba, the Dominican Republic, Ecuador, El Salvador, Guatemala, Guyana, Haiti, Honduras, Jamaica, Mexico, Nicaragua, Panama, Paraguay, Peru, Suriname, Trinidad and Tobago, Uruguay, and Venezuela.
11. Margaret Myers, "The China-Latin America Finance Database," Inter-American Dialogue, Boston University's Global Economic Governance Initiative, and Tufts University's Global Development and Environment Institute, https://thedialogue.org/china-latin-america-finance-database/, accessed February 02, 2025.
12. In recent years, Chinese sovereign loans to Latin America, primarily from the China Development Bank and the Export-Import Bank of China, have declined. However, lending from Chinese commercial banks and state-owned enterprises has increased, reflecting a shift in China's approach to development finance in the region and globally. For more details, see Margaret Myers and Rebecca Ray. China's Policy Banks: Risks and Solutions for the Developing World. Washington, DC: Inter-American Dialogue, March 2022. https://energy-analytics-institute.org/wp-content/uploads/2022/03/CHINA_Chinas-policy-banks-final-mar22_The-Dialogue.pdf.
13. Deborah Bräutigam, The Dragon's Gift: The Real Story of China in Africa (Oxford: Oxford University Press, 2020).
14. The "other multi sector" category in the OECD classification encompasses crosscutting activities, including food security policies, multi sector education/training programs, and environmental protection initiatives reported under sector code 410.

15. See project ID #58839 (https://china.aiddata.org/projects/58839/) in AidData's GCDF 3.0 dataset. See Samantha Custer, Axel Dreher, Thai-Binh Elston et al., Tracking Chinese Development Finance: An Application of AidData's TUFF 3.0 Methodology (Williamsburg, VA: AidData at William & Mary, November 06, 2023), https://www.aiddata.org/publications/aiddata-tuff-methodology-version-3-0.; and Axel Dreher, Andreas Fuchs, Bradley Parks et al., Banking on Beijing: The aims and impacts of China's overseas development program (Cambridge: Cambridge University Press, 2022).
16. See project ID #54854 (https://china.aiddata.org/projects/ 54854/), project ID # 71651 (https://china.aiddata.org/projects/ 71651/), project ID #71653 (https://china.aiddata.org/projects/71653), and project ID #73083 (https://china.aiddata.org/projects/ 73083) in AidData's GCDF 3.0 dataset; see Custer, Dreher, Elston et al., Tracking Chinese Development Finance: An Application of AidData's TUFF 3.0 Methodology; and Dreher, Fuchs, Parks et al., Banking on Beijing: The aims and impacts of China's overseas development program.
17. See project ID #57121 (https://china.aiddata.org/projects/57121/) in AidData's GCDF 3.0 dataset. See Custer, Dreher, Elston et al., Tracking Chinese Development Finance: An Application of AidData's TUFF 3.0 Methodology; and Dreher, Fuchs, Parks et al., Banking on Beijing: The aims and impacts of China's overseas development program.
18. David Shambaugh, "China's Soft-Power Push: The Search for Respect, Foreign Affairs, 94(4) (2015): 99-107, http://www.jstor.org/stable/24483821.
19. Government of the United States, "China's Engagement with Latin America and the Caribbean," Congressional Research Service (2023), https://crsreports.congress.gov/product/pdf/IF/IF10982.
20. "China's Engagement with Latin America and the Caribbean," Congressional Research Service.
21. Catherine Andrzejewski, Ana Horigoshi, Abigail I. Maher, and Jonathan A. Solis, "Innovators and Emulators: China and Russia's Compounding Influence on Digital Censorship," Orbis, Volume 67, Issue 4 (2023): 626-654, https://doi.org/10.1016/j.orbis.2023.08.009; Christopher Balding, "Why Democracies Are Turning Against Belt and Road: Corruption, Debt, And Backlash," Foreign Affairs, https://www.foreignaffairs.com/articles/china/2018-10-24/why-democracies-are-turning-against-belt-and-road, accessed August 04, 2020: 13; and Ngaire Woods, "Whose aid? Whose influence? China, emerging donors and the silent revolution in development assistance," International Affairs, 84(6) (2008): 1205-1221, https://doi.org/10.1111/j.1468-2346.2008.00765.x.
22. Though not entirely hands-off, China's "One China" policy requires countries seeking diplomatic relations to acknowledge Beijing's claim to Taiwan and avoid establishing official ties with the Taiwanese government. Currently, only seven LAC countries recognize Taipei over Beijing: Belize, Guatemala, Haiti, Paraguay, Saint Kitts and Nevis, Saint Lucia, and Saint Vincent and the Grenadines. Telias, Diego. "El orden liberal, China y América Latina." In China y América Latina: Claves hacia el futuro, 17. 2021. https://www.researchgate.net/publication/356834651_Cooperacion_en_seguridad_con_los_paises_sudamericanos_Un_area_de_rivalidad_entre_Estados_Unidos_y_China_no_de_conflicto.
23. Narayani Sritharan, "A comparative study of traditional donors and non-traditional donors in Sri Lanka," Orbis, 67(4) (2023): 579-604, https://doi.org/10.1016/j.orbis.2023.08.007.
24. "Bolivia's Morales, China's Xi Sign 'Strategic Partnership,'" Telesur, June 19, 2018, https://www.telesurenglish.net/news/Bolivias-Morales-Chinas-Xi-Sign-Strategic-Partnership-20180619-0038.html.
25. Samantha Custer et al., "Silk Road Diplomacy: Deconstructing Beijing's Toolkit to Influence South and Central Asia" (2019).
26. Bradley C. Parks, Ammar A. Malik, Brooke Escobar et al., "Belt and Road Reboot: Beijing's Bid to De-Risk its Global Infrastructure Initiative," AidData (2023): 160-61, https://www.wm.edu/offices/global-research/impact/publications/belt-and-road-reboot-beijings-bid-to-de-risk-its-global-infrastructure-initiative.php.

27. Ana Horigoshi and Samantha Custer, "Aid reimagined: Results from an elite survey on perceptions of progress, capacity, and development cooperation, UNU-WIDER, 2023, http://www.wider.unu.edu/publication/aid-reimagined-results-elite-survey-perceptions-progress-capacity-and-development.

28. Peter Bosshard, "China's environmental footprint in Africa," China in Africa Policy Briefing, 3(1) (2008): 12, Africa Studies Program, Johns Hopkins University, https://scholar.google.com/scholar_url?url=https://sais.jhu.edu/sites/default/files/China%27s-Environmental-Footprint-in-Africa.pdf&hl=en&sa=X&ei=bayvZ6KcMp-bieoPz4O4mAk&scisig=AFWwaeYhQ5uL5mbUmnlTCzO-seVP&oi=scholarr; and Kim Yi Dionne, "The role of executive time horizons in state response to AIDS in Africa," Comparative Political Studies, 44(1) (2011): 55–77, https://doi.org/10.1177/0010414010381074.

29. Kim Yi Dionne. "The Role of Executive Time Horizons in State Response to AIDS in Africa." Comparative Political Studies 44, no. 1 (2011): 55–77. https://doi.org/10.1177/0010414010381074.

30. Of course, autocratic systems are less stable and can end in short order via coup or assassination (Bak 2020, Cukierman 2022). However, on average, autocrats have longer time horizons in power

31. (Bak 2020) Bak, Daehee. "Autocratic Political Cycle and International Conflict." Conflict Management and Peace Science 37, no. 3 (May 2020): 471-489. https://doi.org/10.1177/0738894217741617; Cukierman, Alex. "Bargaining Advantages of Autocratic Leaders in Conflicts Between Totalitarian and Democratic Regimes: Reflections on the Russian Invasion of Ukraine." VoxEU, April 29, 2022. https://cepr.org/voxeu/columns/bargaining-advantages-autocratic-leaders-conflicts-between-totalitarian-and.

32. Samuel Brazys and Alexander Dukalskis, "Rising powers and grassroots image management: Confucius Institutes and China in the media," The Chinese Journal of International Politics, 12(4) (2019): 557–584, https://doi.org/10.1093/cjip/poz012; and Samantha Custer et al., "Silk Road Diplomacy: Deconstructing Beijing's Toolkit to Influence South and Central Asia" (2019).

33. See project ID #38935 (https://china.aiddata.org/projects/38935/) in AidData's GCDF 3.0 dataset. Custer, Dreher, Elston et al., Tracking Chinese Development Finance: An Application of AidData's TUFF 3.0 Methodology; and Dreher, Fuchs, Parks et al., Banking on Beijing: The aims and impacts of China's overseas development program.

34. See project ID #64345 (https://china.aiddata.org/projects/64345/) and project ID #69279, https://china.aiddata.org/projects/69279/ in AidData's GCDF 3.0 dataset. Custer, Dreher, Elston et al., Tracking Chinese Development Finance: An Application of AidData's TUFF 3.0 Methodology; and Dreher, Fuchs, Parks et al., Banking on Beijing: The aims and impacts of China's overseas development program.

35. Gregory G. Holyk, "Individual-level predictors of leader and public support for the use of force," International Journal of Public Opinion Research, 23(2) (2011): 214–229, https://doi.org/10.1093/ijpor/edq047.

36. Chukwuemeka Ojieh, "Popular diplomacy in an autocracy – Public opinion and foreign policy decision-making under the military in Nigeria," Ufahamu: A Journal of African Studies, 38(2) (2015), https://doi.org/10.5070/F7382025973.

37. Johannes Gerschewski and Alexander Dukalskis, "How do autocracies legitimate their rule? EDP Network, 2017, https://www.external-democracy-promotion.eu/how-do-autocracies-legitimate-their-rule/.

38. Maxwell McCombs and Sebastian Valenzuela, Setting the agenda: Mass media and public opinion (Hoboken, NJ: John Wiley & Sons, 2020).

39. Omar Wasow, "Agenda seeding: How 1960s Black protests moved elites, public opinion and voting," American Political Science Review, 114(3) (2020), 640, https://doi.org/10.1017/S000305542000009X.

40. Although leaders elected in a democratic system can use manipulative tactics, this is less likely (Peleg, Ilan. "Censorship in Global and Comparative Perspective: An Analytical Framework." In Patterns of Censorship Around the World, edited by Ilan Peleg and Vladimir Wozniuk, 3–15. London: Routledge, 2019. https://doi.org/10.4324/9780429301179-1.

41. In the 2023 Reporters Without Borders ranking, Costa Rica scored 76.69 out of 100, ranking 25th in media freedom out of 180 countries. In contrast, Venezuela scored 33.06, placing 156th on the list. See 2023 World Press Freedom Index, Reporters Without Borders, 2024, https://rsf.org/en/index.

42. Myers, "The China-Latin America Finance Database," Inter-American Dialogue, Boston University's Global Economic Governance Initiative, and Tufts University's Global Development and Environment Institute, https://thedialogue.org/china-latin-america-finance-database/, accessed February 02, 2025.

43. Anna Gelpern, Sebastian Horn, Scott Morris et al., "How China lends: a rare look into 100 debt contracts with foreign governments," Economic Policy, Volume 38, Issue 114 (April 2023): 345-416, https://doi.org/10.1093/epolic/eiac054.

44. A limitation in our theory is the lack of Freedom of Information (FOI) laws that often exist in Latin America. For a discussion of the relationship between media freedom and access to government information, see Žuffová's (2020) study on FOI laws, open government data, and media freedom. Using Global Right to Information (RTI) ratings, Žuffová's global analysis finds that FOI laws and robust media freedom are necessary to reduce corruption. It highlights how high levels of media freedom do not always guarantee access to government information through FOI mechanisms. For instance, Mexico has a high RTI rating but relatively lower media freedom, while Costa Rica—among the world's leaders in media freedom—has a surprisingly low RTI score. Similarly, Uruguay and Jamaica, both known for strong media freedom, score lower in the RTI rating. Žuffová, Mária. "Do FOI laws and open government data deliver as anti-corruption policies? Evidence from a cross-country study." Government information quarterly 37, no. 3 (2020): 101480.

45. The Gallup World Poll is a comprehensive dataset that captures the perspectives and sentiments of individuals from over 140 countries, covering topics such as economic confidence, employment, leadership performance, and well-being since 2005. Each year, the poll interviews about 1,000 individuals aged 15 and older per country, using a probability sampling method to ensure a representative sample of the entire civilian, noninstitutionalized population. The methodology incorporates face-to-face interviews in regions with low telephone coverage and telephone interviews in more developed areas.

46. Axel Dreher, Andreas Fuchs, Roland Hodler et al., "African leaders and the geography of China's foreign assistance," Journal of Development Economics, Volume 140 (2019): 44-71, https://doi.org/10.1016/j.jdeveco.2019.04.003; and Custer, Dreher, Elston et al., Tracking Chinese Development Finance: An Application of AidData's TUFF 3.0 Methodology.

47. This analysis focuses on funding amounts as the most direct measure of PRC influence. Project counts are profiled to demonstrate the dataset's versatility, but focusing on funding allows for a clearer examination of the financial scale. Future work should explore project counts in greater detail.

48. This model effectively estimates marginal effects and provides a reasonable approximation of relationships, especially when probabilities are not close to 0 or 1. Additionally, linear probability models tend to be more robust against certain model misspecifications than alternatives like logit models. To address potential limitations, such as predicted probabilities outside the [0, 1] range or issues with homoscedasticity, we apply robust standard errors.

49. C.R. Veney and S.O. Abidde, "Introduction: China and Taiwan in Latin America and the Caribbean: History, power rivalry, and regional implications," in China and Taiwan in Latin America and the Caribbean, C. R. Veney and S. O. Abidde, eds., (London: Palgrave Macmillan, 2024), 3-17, https://doi.org/10.1007/978-3-031-45166-9_1.

50. Luis Carlos Herrera, Markelda Montenegro, and Virginia Torres–Lista, "The 'two Chinas' and Panama: An historical review of Panamanian relations with the People's Republic of China and Taiwan, 1903–2017," LSE Global South Unit, working paper, 2020, http://eprints.lse.ac.uk/110976/.

51. "CK Hutchison: The Hong Kong Firm Behind Panama Port Operators," France 24, February 03, 2025, https://www.france24.com/en/live-news/20250203-ck-hutchison-the-hong-kong-firm-behind-panama-port-operators.

52. Carlos Herrera, Montenegro, and Torres-Lista, "The 'two Chinas' and Panama.
53. T.H.A. Hafiyer Al Halim, "Two-level games theory in Panama–Taiwan diplomatic relations," Asia-Pacific Research in Social Sciences and Humanities Universitas Indonesia Conference (Atlantis Press: May 2021), 147–153, https://www.atlantis-press.com/proceedings/aprish-19/125957201.
54. Carlos Herrera, Montenegro, and Torres–Lista, "The 'two Chinas' and Panama."
55. Roxanne I. Rogers, "The Switch: Why do Panama and Nicaragua Now Recognize China over Taiwan?" Roger Williams University, Arts and Scientists Theses, 2022.
56. Hafiyer, "Two-level games theory in Panama–Taiwan diplomatic relations."
57. Hafiyer, "Two-level games theory in Panama–Taiwan diplomatic relations."
58. Daniel F. Runde and Amy Doring, "Key decision point coming for the Panama Canal," Center for Strategic and International Studies (2021), https://www.csis.org/analysis/key-decision-point-coming-panama-canal.
59. Alonso Illueca, "China's influence in Panama: A case study," Expediente Abierto, October 27, 2023, https://www.expedienteabierto.org/chinas-influence-in-panama-a-case-study/.
60. 60 A. Wooley, S. Zhang, R. Fedorochko, and S. Patterson, "Harboring Global Ambitions: China's Ports Footprint and Implications for Future Overseas Naval Bases (Williamsburg, VA: AidData at William & Mary, 2023).
61. Wooley, Zhang, Fedorochka, and Patterson et al., "Harboring Global Ambitions."
62. Runde and Doring, "Key decision point coming for the Panama Canal," CSIS.
63. Vincent Ni, "Documents link Huawei to Uyghur surveillance projects, report claims," The Guardian, December 15, 2021, https://www.theguardian.com/technology/2021/dec/15/documents-link-huawei-uyghur-surveillance-projects-report-claims.
64. Illueca, "China's influence in Panama: A case study."
65. Illueca, "China's influence in Panama: A case study."
66. Illueca, "China's influence in Panama: A case study."
67. Pratik Jakhar, "Confucius Institutes: The growth of China's controversial cultural branch," BBC News, September 06, 2019, https://www.bbc.com/news/world-asia-china-49511231.
68. Ximena Barría, "China Increases Its Presence around the Panama Canal," Global Affairs and Strategic Studies, University of Navarra, 2018.https://en.unav.edu/web/global-affairs/detalle?p_p_id=com_liferay_blogs_web_portlet_BlogsPortlet&p_p_lifecycle=0&p_p_state=maximized&p_p_mode=view&_com_liferay_blogs_web_portlet_BlogsPortlet_delta=10&p_r_p_resetCur=false&p_r_p_categoryId=0&_com_liferay_blogs_web_portlet_BlogsPortlet_cur=34
69. Sabina Nicholls, "Panama: China's Strategic Hub," Diálogo, March 29, 2024, https://dialogo-americas.com/articles/panama-chinas-strategic-hub/.

ABOUT THE AUTHORS



NARA SRITHARAN

Nara plays an active role in academia, teaching courses on Empirical Microeconomics and the Economics of Identity and incorporating innovative classroom techniques to enhance student engagement. She mentors first-generation female students, supports junior researchers, and is deeply committed to amplifying marginalized voices both in her academic and community work.

Prior to joining AidData, Nara completed her PhD in Economics at UMass Amherst. Her dissertation was on the political economy of peace and conflict, in particular peacebuilding and ethnic reconciliation in conflict/post-conflict countries. Nara is a Steering Committee member and Co-Founder of Diversifying and Decolonising Economics (D-Econ), and maintains affiliations with Security in Context and Human Security Lab.



JONATHAN A. SOLIS

Jonathan A. Solis is a Research Scientist at AidData. He is part of the Policy Analysis Unit (PAU), which produces data, tools, and analysis to help governments and organizations enhance the effectiveness of their development cooperation and public diplomacy efforts. Within the PAU, Jonathan conducts quantitative analysis and contributes to the framing, writing, interpretation, and presentation of study findings, with a focus on media, democratization, and public diplomacy.

He recently led the authorship of the policy report Investing in Narratives: How Beijing Promotes Its Development Projects in the Philippines and the brief Spotlight on PRC Engagement in Honduras Relative to Central America. He currently leads an ongoing report examining PRC media narratives in Indonesia. His academic work has appeared in several peer-reviewed journals, including Political Communication, the British Journal of Political Science, and the Journal of Human Rights.

Steven J. Green
School of International
& Public Affairs
Florida International University

MARCH 2025